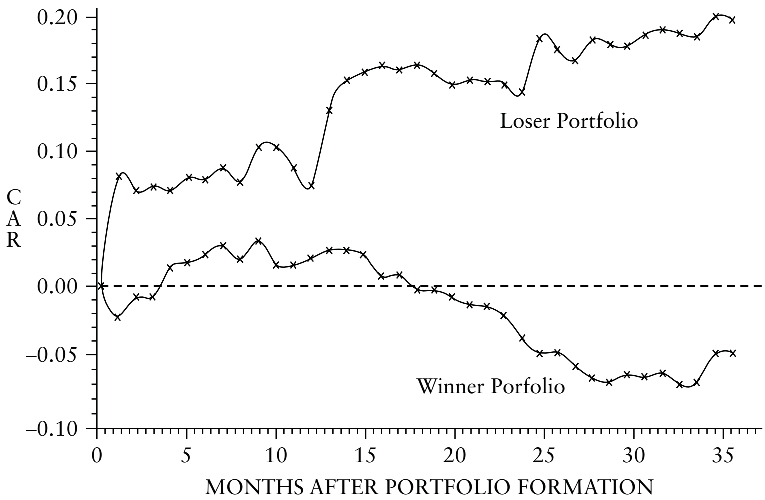

FIGURE 5.1 Cumulative Average Returns for Winner and Loser Portfolios of 35 Stocks over 36 months (1933 to 1982)
Source: Werner F.M. De Bondt and Richard H. Thaler. "Does the Stock Market Overreact?" *Journal of Finance* 40 (3) (1985): 793–805.

words, a stock *price* that has fallen a great deal becomes a good candidate for subsequent *earnings* growth, and a stock that has gone up a lot is likely to see *earnings* contract.

Using data for the period 1966 to 1983, De Bondt and Thaler replicated the original experiment, forming portfolios of extreme winners and losers measured by the increase or decrease in stock prices over the three-year period prior to the selection date. They then tracked the *earnings* performance of the stocks in each portfolio for the preceding three years and for the subsequent four years. The earnings for each were indexed to 100 at the selection date. Figure 5.2 uses data extracted from De Bondt and Thaler's paper to show the change in average earnings per share for stocks in the Winner and Loser portfolios.

Astonishingly, and as De Bondt and Thaler had anticipated, the earnings of stocks in the Loser portfolio grew at a faster rate after the selection date than the earnings of stocks in the Winner portfolio. The stocks in the Loser portfolio—which had seen earnings fall 72 percent over three years—saw earnings increase 234.5 percent over the next four years. By contrast, the stocks in the Winner portfolio—which had seen earnings growing rapidly at 50 percent over three years—saw earnings *decrease* after selection by 12.3 percent over the next four years. As they had theorized, the Loser